DCF VALUATION REPORT DOCUMENT 01 / 15

Discounted Cash Flow Valuation.

A bottom-up equity valuation exercise

SUBJECT

JK Tyre & Industries Ltd.

Tyre Manufacturing · India · Mid-cap

PREPARED BY

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DATE

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Forecast horizon FY26–FY30

02 WHY JK TYRES

A first subject, made rigorous.

PERSONAL CONTEXT

JK Tyres has held a place in my life long before any financial model — my initials happen to match the company name, and the joke of “owning it someday” never quite went away. As I started building finance projects seriously, JK Tyres became the natural first subject.

GOAL OF THIS EXERCISE

Not a buy or sell recommendation. The goal is to determine what this business is worth under a defensible set of assumptions, compare that to the market price, and understand the gap — built ground-up in Excel across six years of history and a five-year forecast.

03 COMPANY OVERVIEW

Truck-radial pioneer, India and Mexico.

BUSINESS MODEL

Among India's leading tyre manufacturers, with a strong presence in truck and bus radials — a segment JK helped pioneer. Operates plants across India and through its Mexican subsidiary **Tornel**, giving it international revenue exposure.

INDUSTRY CONTEXT

— India is among the largest tyre markets globally by volume

— FY25 demand grew 4–8%, recovering from soft replacement and high input costs

— 2030 outlook: infra spend, rising incomes, premiumisation, exports

— JK positioned to benefit from CV freight demand & truck-radial leadership

COMPETITIVE SET

Faces intense competition across segments and price points:

— MRF

— Apollo Tyres

— CEAT

— Chinese low-cost entrants (rising)

FY25 REVENUE	FY25 EBITDA	FY25 PAT	SHARES OUTSTANDING
₹14,693 Cr	₹1,599 Cr	₹480 Cr	28.78 Cr

ALL VALUES IN INR CR · SOURCE: SCREENER.IN CONSOLIDATED FINANCIALS

04 VALUATION APPROACH

Free Cash Flow to the Firm.

METHODOLOGY

Forecast unlevered free cash flows for an explicit five-year horizon, estimate a terminal value at steady state, and discount both back to today at the firm's weighted-average cost of capital.

$$EV = \Sigma\ FCFF_t \div (1 + WACC)^t + TV \div (1 + WACC)^n$$

Bridge to equity value: EV − Total Debt + Cash & Equivalents.

WHY DCF FOR JK TYRE

— Capital-intensive operations with predictable depreciation and capex cycles.

— Mature business with multi-year operating history (FY20–FY25) to anchor forecasts.

— Earnings sensitive to input costs; FCFF isolates the cash economics.

— Listed peer multiples are noisy; DCF gives a fundamental anchor.

05 KEY ASSUMPTIONS

Five-year forecast drivers, FY26–FY30.

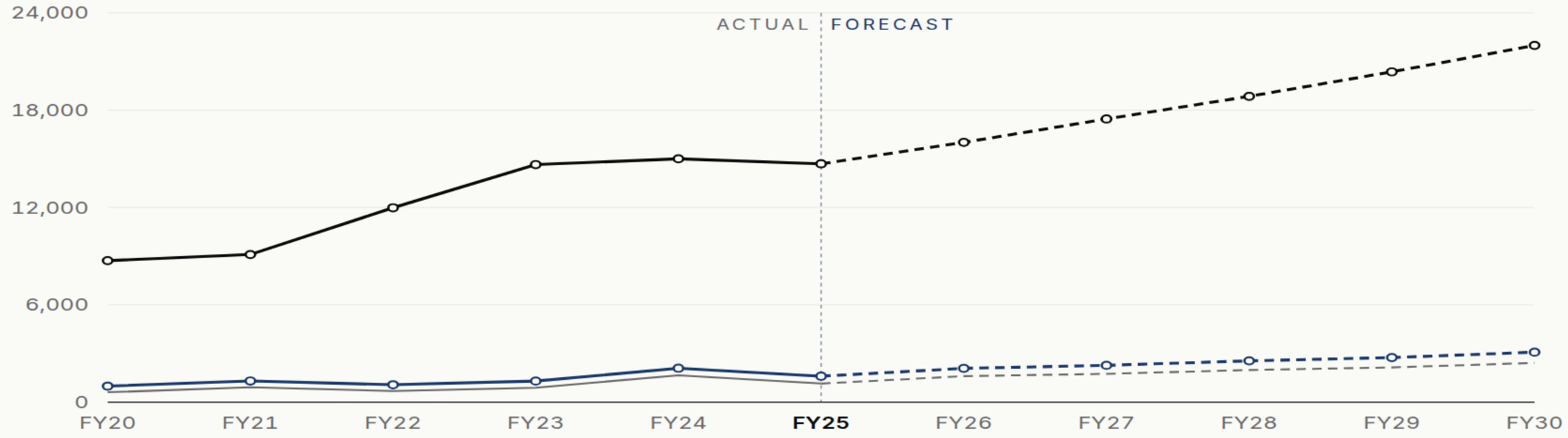
Driver	FY26	FY27	FY28	FY29	FY30	Note
Revenue growth	9.0%	9.0%	8.0%	8.0%	8.0%	Anchored to industry CAGR 6–10%
EBITDA margin	13.0%	13.0%	13.5%	13.5%	14.0%	FY24 was 13.9%; recovered from FY22 low of 9%
D&A as % of revenue	3.0%	3.0%	3.0%	3.0%	3.0%	Consistent with historical average
Effective tax rate	30.0%	30.0%	30.0%	30.0%	30.0%	Slightly above recent historical
CapEx as % of revenue	4.0%	4.0%	4.0%	4.0%	4.0%	Ongoing capacity, no transformative spend
Δ Working capital % of revenue	2.0%	2.0%	2.0%	2.0%	2.0%	Based on historical pattern

TERMINAL GROWTH 5% — CONSISTENT WITH INDIA LONG-TERM NOMINAL GDP

06 FORECASTED FINANCIALS

Revenue, EBITDA & EBIT trajectory

INR Cr · Solid: actuals (FY20–FY25) · Dashed: forecast (FY26–FY30)



— Revenue — EBITDA — EBIT

REVENUE CAGR FY25→FY30	FY30 EBITDA	FY30 MARGIN
8.4%	₹3,079 Cr	14.0%

07 FREE CASH FLOW

From EBIT to Free Cash Flow to the Firm.

INR Cr · forecast horizon FY26–FY30

Build	FY26	FY27	FY28	FY29	FY30
EBIT	1,602	1,746	1,980	2,138	2,419
× (1 − Tax 30%)	0.70	0.70	0.70	0.70	0.70
NOPAT	**1,121**	**1,222**	**1,386**	**1,497**	**1,693**
+ Depreciation & Amortisation	480	524	566	611	660
− Capital Expenditure	(641)	(698)	(754)	(814)	(880)
− Δ Working Capital	(320)	(349)	(377)	(407)	(440)
FCFF	**641**	**698**	**820**	**886**	**1,034**

EBIT → NOPAT → + D&A → − CAPEX → − Δ WC → FCFF

CUMULATIVE FCFF FY26–FY30: ₹4,078 CR

08 DISCOUNT RATE (WACC)

Weighted-average cost of capital

Cost of Equity (CAPM) and after-tax Cost of Debt, weighted by capital mix.

COST OF EQUITY · CAPM

Risk-free rate (10Y G-Sec)	6.96%
Beta · Moneycontrol	1.50
ERP (Nifty 12% − Rf 6.8%)	5.20%
Cost of Equity	**14.76%**

COST OF DEBT

Total debt	₹9,451 Cr
Interest expense	₹476 Cr
Cost of debt (pre-tax)	5.04%
Post-tax (× 0.70)	**3.53%**

CAPITAL STRUCTURE

Total equity (mkt cap)	₹11,486 Cr
Total debt	₹9,451 Cr
Total capital	₹20,937 Cr
Weight Equity / Debt	54.9% / 45.1%

WEIGHTED-AVERAGE COST OF CAPITAL

WACC = 0.549 × 14.76% + 0.451 × 3.53%

FINAL WACC

9.69%

09 TERMINAL VALUE

Gordon Growth, applied at FY30.

Captures all cash flows beyond the explicit forecast horizon at steady state.

METHOD

$$TV = FCFF_{n+1} \div (WACC - g)$$

Gordon Growth assumes the firm grows free cash flow at a constant terminal rate in perpetuity. Appropriate for a mature, capital-intensive tyre manufacturer operating in established end-markets.

FY30 FCFF
₹1,034 Cr

FY31 FCFF (× 1.05)
₹1,086 Cr

KEY ASSUMPTIONS

Terminal growth rate (g)	5.00%
WACC	9.69%
Spread (WACC – g)	4.69%

TERMINAL VALUE (FY30)
₹23,139 Cr

PV OF TERMINAL VALUE
₹14,572 Cr

10 VALUATION SUMMARY

Discounted cash flows to Enterprise Value.

INR Cr · discounted at WACC of 9.69%

Year	FCFF	Disc. Factor	PV of FCFF
FY26	641	0.9117	584
FY27	698	0.8311	580
FY28	820	0.7577	621
FY29	886	0.6908	612
FY30	1,034	0.6297	651
Sum of PV of FCFFs			**3,048**

ENTERPRISE VALUE BRIDGE

Sum of PV of FCFFs	₹3,048 Cr
PV of Terminal Value	₹14,572 Cr

17% Explicit FCFFs

83% Terminal Value

ENTERPRISE VALUE

₹17,620 Cr

11 EQUITY VALUE & INTRINSIC PRICE

From Enterprise Value to per-share intrinsic price.

EQUITY BRIDGE

Enterprise Value	₹17,620 Cr
– Total Debt	(₹9,451 Cr)
+ Cash & Equivalents	₹711 Cr
Equity Value	**₹8,880 Cr**
÷ Shares Outstanding	28.78 Cr

INTRINSIC VALUE PER SHARE

₹308.56

CURRENT MARKET PRICE

₹399.00

IMPLIED UPSIDE / DOWNSIDE

−22.7%

Trading above intrinsic value

12 SENSITIVITY ANALYSIS

Intrinsic value · WACC × terminal growth

₹ per share. Blue cells indicate intrinsic value > CMP of ₹399. Bold-outlined cell is base case (WACC 9.69% → 9.5%, g 5%).

G ╲ WACC	8.0%	8.5%	9.0%	9.5%	10.0%	10.5%	11.0%	11.5%	12.0%
4.0%	**443**	358	290	234	188	149	115	86	61
4.5%	**537**	**430**	346	280	225	180	141	108	80
5.0%	663	**522**	**417**	335	270	216	171	134	101
5.5%	839	**646**	**508**	**405**	324	260	207	164	126
6.0%	1103	819	**629**	**494**	392	313	250	199	156

VALUATION RANGE

₹61 – ₹1,103

Across the 5 × 9 grid

BASE CASE

₹309 / share

WACC 9.69% · g 5.0%

CELLS ABOVE CMP ₹399

15 of 45

≈ 33% — limited margin of safety

13 KEY INSIGHTS

Where the value is made — and where it can break.

VALUE DRIVERS

01 **Terminal value** contributes ~83% of EV — the model is most sensitive to terminal growth and WACC.

02 **EBITDA margin expansion** from 13% to 14% over FY26–FY30 lifts FCFF by ~60% over the horizon.

03 **CapEx discipline** at 4% of revenue keeps the reinvestment rate moderate, preserving FCFF conversion.

04 **High beta (1.50)** elevates cost of equity to 14.8%, materially raising WACC and compressing PV of cash flows.

RISKS & DEPENDENCIES

R1 **Raw-material volatility** — natural rubber and crude derivatives drive a large share of cost; sustained spikes compress margins.

R2 **Competitive intensity** from MRF, Apollo, CEAT and rising Chinese low-cost imports pressuring price and share.

R3 **Leverage** — debt of ₹9,451 Cr means rate cycles directly hit interest cost and equity returns.

R4 **Terminal assumption** drives ~83% of EV; a cut from 5% to 4% reduces base-case value by ~25%.

14 CONCLUSION

FINAL STANCE

Overvalued.

Intrinsic value of **₹308.56** sits **23%** below the prevailing market price of **₹399**. The stock has already corrected from a 52-week high of **₹612**, but has not yet reached fair value under these assumptions.

FOR THE THESIS TO FLIP TO UNDERVALUED

DRIVER 01

WACC compression via meaningful debt reduction and beta normalisation.

DRIVER 02

Revenue growth > 10% sustained, led by export expansion and premiumisation.

DRIVER 03

EBITDA margin → 15%+ as mix shifts to higher-value radial and EV tyres.

BOTTOM LINE

Stock approaches fair value only when WACC drops near 8.5% or terminal growth exceeds 5.5%.

INTRINSIC VALUE

₹308.56

DOWNSIDE

−22.7%

15 APPENDIX

Supporting calculations & assumptions

HISTORICAL FINANCIALS (₹ CR)

Item	FY20	FY21	FY22	FY23	FY24	FY25
Revenue	8,723	9,102	11,983	14,645	15,002	14,693
EBITDA	986	1,306	1,073	1,298	2,091	1,599
EBIT	608	919	688	891	1,654	1,143
Interest Expense	549	466	419	454	447	476
PAT	217	281	175	280	809	480

BALANCE SHEET · FY25 SNAPSHOT (₹ CR)

TOTAL ASSETS
₹14,435 Cr

TOTAL EQUITY
₹4,984 Cr

TOTAL DEBT
₹9,451 Cr

METHOD & CONVENTIONS

— Currency: Indian Rupees (INR), figures in Crores unless stated.

— Fiscal year ends 31 March; FY25 = year ending Mar 2025.

— Source: Screener.in consolidated financials.

— FCFF = NOPAT + D&A − CapEx − ΔWC; NOPAT taxed at 30%.

— CAPM cost of equity; India 10Y G-Sec as risk-free rate.

— ERP via Bloomberg method: Nifty 50 historical (12%) − Rf (6.8%).

— Beta sourced from Moneycontrol.

— Terminal value via Gordon Growth at FY30, discounted 5 years at WACC.

DISCLAIMER

This report is an independent academic exercise built entirely from publicly available data on Screener.in. It does not constitute investment advice. The author is not a SEBI-registered analyst. All assumptions are the author's own and subject to error.